ECON 1550 International Finance

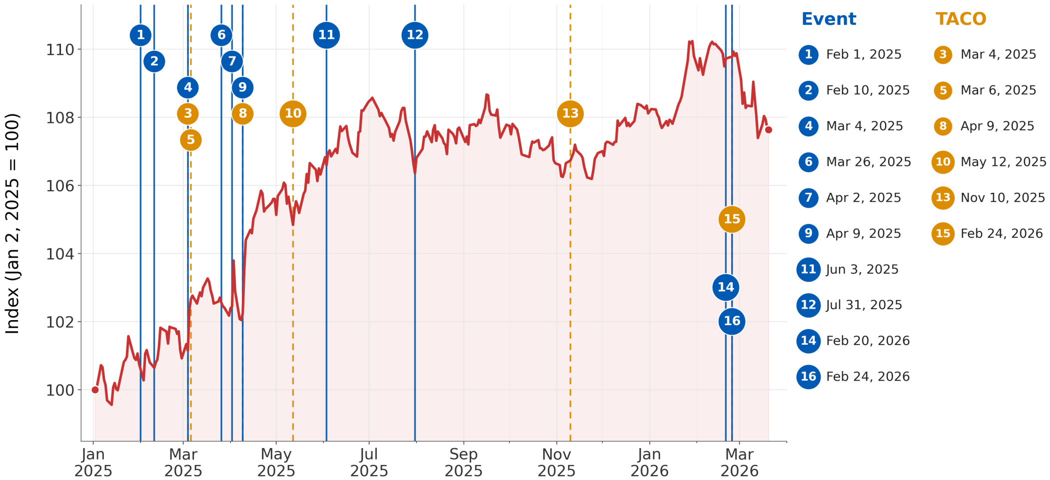
A Tour of the World

Tariff Wars

Sources: Reuters timeline of major tariff developments; White House fact sheet for the Feb. 20, 2026 temporary import duty; data: FRED DTWEXBGS.

Timeline of major tariff events

	Event	TACO
2025		
Feb 1	25% on Canada/Mexico; 10% on China (IEEPA)	Canada/Mexico delayed to Mar 4
Feb 10	Steel/aluminum: no exemptions, aluminum to 25% (Sec. 232)	
Mar 4	Canada/Mexico tariffs take effect; China to 20%	Mar 6: USMCA-compliant exempted until Apr
Mar 26	25% on autos/parts (Sec. 232)	
Apr 2	“Liberation Day” 10% baseline + country-specific	Apr 9: 10% paused ex China
Apr 9	China raised to 145%	May 12: 30% for 90 days; Nov 10: 1-year deal
Jun 3	Steel/aluminum to 50% (Sec. 232); UK stays 25%	
Jul 31	Reciprocal tariffs on $\sim$60 partners (10–41%)	
2026		
Feb 20	Supreme Court strikes down IEEPA tariffs	All IEEPA tariffs terminated Feb 24
Feb 24	10% surcharge on most imports (Sec. 122)	Expires Jul 24, 2026



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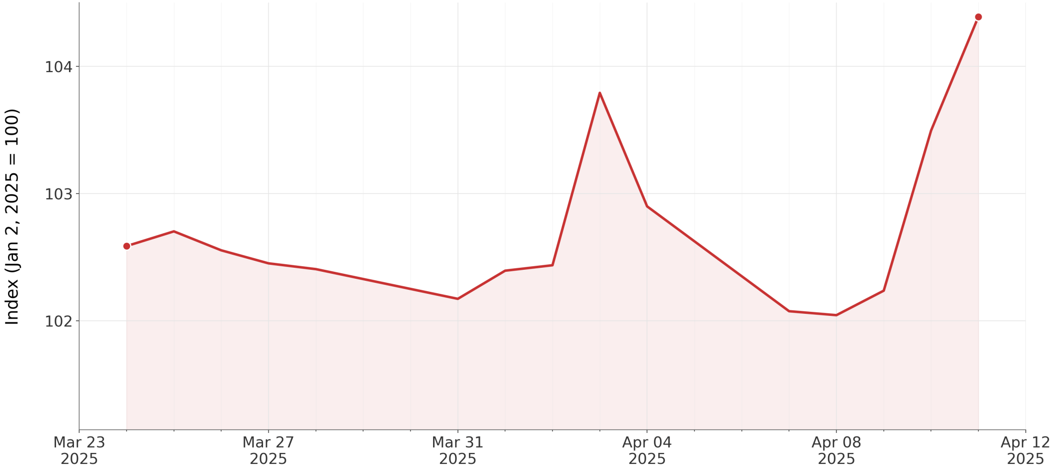

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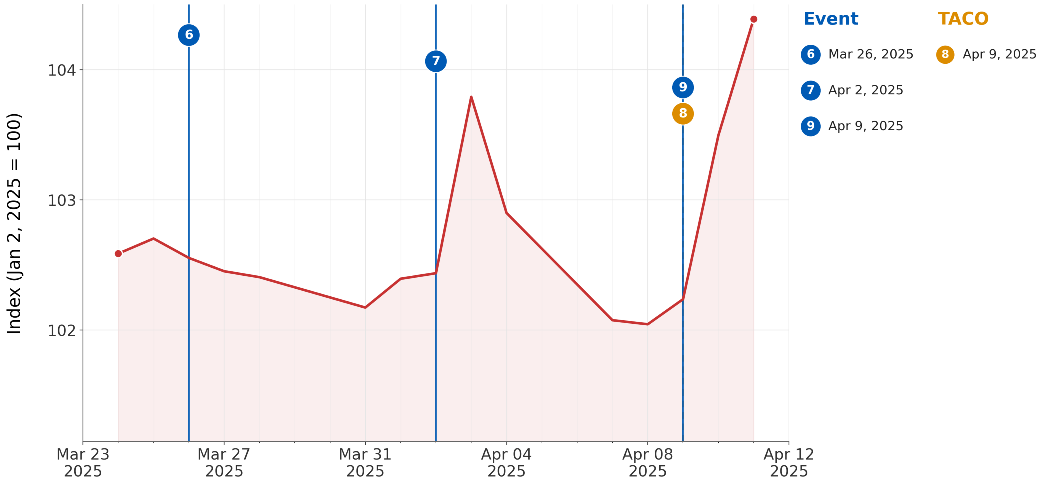

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Tariff authorities for executive branch

- **International Emergency Economic Powers Act, IEEPA (1977)** During declared national emergency
- **Section 232, Trade Expansion Act (1962)** For threats to national security
- **Section 301, Trade Act (1974)** To address unfair trade practices
- **Section 122, Trade Act (1974)** During balance-of-payments emergency

Declared emergencies for IEEPA tariffs (Feb 2025)

The failure of each country to…

- Canada — "take adequate steps to alleviate the illegal migration and illicit drug crises"
- Mexico — "arrest, seize, detain, or otherwise intercept Mexican drug trafficking organizations, other drug and human traffickers, criminals at large, and illicit drugs"
- China — "blunt the sustained influx of synthetic opioids"

The dollar fell despite rising tariffs

- Broad dollar index (DTWEXBGS): 129.46 on Jan 2, 2025 $\rightarrow$ 120.28 on Mar 20, 2026—roughly a 7% depreciation over about 14.5 months.
- AA-DD model says tariffs should make the dollar *appreciate*
- Yet the dollar weakened through most of the tariff escalation.

Why might tariffs weaken the dollar?

- Retaliation: trading partners imposed their own tariffs
- Temporary tariffs: the IEEPA legal challenge (event 10) raised questions about the durability of the tariff regime.
- Uncertainty: frequent reversals, unknown future policies
- The overall behavior combines all effects

Tariffs in four numbers: before and after

	Before (Jan 2025)	**Peak** (Apr 2025)	**Now** (Mar 2026)
On foreign goods entering the U.S.	2.2%	**28%**	**10%**
On U.S. goods entering other countries	1.9%	—	**3.2%**

Sources: Yale Budget Lab (peak); Tax Foundation; WTO tariff profiles; U.S. Census Bureau export data (2024). All figures are trade-weighted averages.

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UIP Under Pressure: The BOJ and the Yen

The January 2026 yen episode

- On January 23, 2026, the BOJ held its policy rate at 0.75% but sent a hawkish signal: upgraded growth forecasts, retained hawkish inflation outlook, said it would keep raising rates

- Holding E^e_{t+1} and R_t fixed, UIP implies yen should appreciate

- During Gov. Ueda's press conference the yen *depreciated*

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UIP Under Pressure: The BOJ and the Yen

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When Safe Havens Stop Working

Are Treasuries still a safe haven?

Axel Christensen · 2nd

Managing Director, Chief Investment Strategist Latin Am...

2w ·

Connect ···

The Middle East conflict is upending well-established relationships in global markets.

In past geopolitical crises, long-term U.S. Treasuries would often rally and cushion equity market selloffs. But instead, yields have jumped. That aligns with our view that we are at risk of an inflationary supply shock — not a classic demand-driven slowdown. And why government bonds provide a diversification mirage.